



NEWS RELEASE

FOR IMMEDIATE RELEASE

Contura Announces Second Quarter 2018 Results

BRISTOL, Tenn., August 16, 2018 - Contura Energy, Inc., a leading U.S. coal supplier, today reported results for the second quarter and year-to-date through June 30, 2018.

Highlights include:

- *Net Income from continuing operations of \$75 million for the second quarter 2018 compared with \$18 million in the same period last year⁽¹⁾*
- *Adjusted EBITDA of \$86 million for the quarter compared with \$73 million in the same period last year⁽¹⁾*
- *Merger with Alpha progressing with important milestones achieved; transaction expected to close before year-end, likely in early- to mid-fourth quarter*
- *Strong Trading and Logistics performance, increasing 2018 guidance to 5.6 million to 6.2 million tons*
- *Cumberland soft clay issue mitigated ahead of schedule; mine back to full operation*

(millions, except per share)

	Three months ended June 30,		Six months ended June 30,	
	2018 ⁽¹⁾	2017 ⁽¹⁾	2018 ⁽¹⁾	2017 ⁽¹⁾
Net income ⁽²⁾	\$74.6	\$18.4	\$132.9	\$49.4
Net income ⁽²⁾ per diluted share	\$7.24	\$1.69	\$12.91	\$4.57
Adjusted EBITDA ⁽³⁾	\$86.1	\$73.1	\$185.1	\$192.6
Operating cash flow ⁽⁴⁾	\$145.9	\$44.0	\$115.6	\$186.2
Capital expenditures	\$18.9	\$18.6	\$38.3	\$30.5
Tons of coal sold	4.4	4.1	8.2	8.4

¹ Excludes discontinued operations.

² From continuing operations.

³ These are non-GAAP financial measures. A reconciliation of Net Income to Adjusted EBITDA is included in tables accompanying the financial schedules.

⁴ Includes discontinued operations.

“Between another robust result from our Trading and Logistics segment and the continued progress we are making toward consummating our transaction with Alpha, this past quarter was a very productive one for Contura Energy,” said Kevin Crutchfield, chief executive officer. “I am proud of our teams across the organization for delivering an overall strong quarterly performance despite the headwinds we faced through the geologic challenges at Cumberland and a subpar rail performance that capped what could have been even greater returns from our export sales.”

Financial Performance

Total revenues in the second quarter were \$528.9 million. Coal revenues, excluding freight and handling fulfillment revenues, in the second quarter were \$423.9 million, with Central Appalachia (CAPP) coal revenues accounting for \$152.2 million, Trading and Logistics (T&L) accounting for \$201.0 million, and Northern Appalachia (NAPP) coal revenues totaling \$70.7 million. Comparatively, in the second quarter 2017, CAPP revenues were \$111.2 million, T&L revenues were \$179.3 million, and NAPP accounted for \$77.3 million of the \$367.9 million in total coal revenues.

CAPP coal shipments for the second quarter 2018 were 1.2 million tons at an average per-ton realization of \$128.51, compared to 1.0 million tons at \$112.37 per ton in the prior year second quarter. Contura shipped 1.6 million tons of NAPP coal during the quarter at an average per-ton realization of \$44.98, down from 1.8 million tons at \$42.08 per ton in the second quarter 2017. As previously announced, NAPP volumes in the quarter were impacted by geologic conditions including a reduced coal seam thickness and localized soft clay issues. In the T&L segment, coal volumes increased from 1.3 million tons in the prior year period to 1.6 million tons in the second quarter 2018, while the average T&L realization decreased from \$138.97 per ton to \$123.39 per ton during the same period.

Freight and handling fulfillment revenues and other revenues in the second quarter 2018 were \$101.3 million and \$3.8 million, respectively, compared with \$69.7 million and \$2.1 million, respectively, in the prior year period.

- Total costs and expenses during the second quarter 2018 were \$444.2 million and cost of coal sales was \$331.6 million, compared with \$406.6 million and \$286.9 million, respectively, in the same period a year ago. Total expenses were negatively impacted by approximately \$5.8 million in net demurrage costs due to poor rail service throughout the quarter, affecting primarily export met shipments. The cost of coal sales in CAPP for the quarter averaged \$75.93 per ton, up from \$73.13 in the prior year period. The CAPP cost includes \$1.12 per ton in idle costs. NAPP costs at \$40.95 per ton were impacted by the aforementioned geologic conditions experienced during the quarter, which reduced production volume. NAPP costs included idle costs of \$0.96 per ton. In the year ago period, NAPP cost of coal sales averaged \$33.01 per ton. In the T&L segment, the cost of coal sales during the second quarter 2018 was \$108.85 per ton versus \$119.03 per ton in the second quarter 2017.
- Selling, general and administrative (SG&A) expenses for the second quarter 2018 were \$12.0 million, down from \$26.3 million in the year ago period. The year ago period included approximately \$12.0 million in expenses related to the special dividend, business development expenses, and costs related to the company’s filing of a registration statement with the SEC. Included in the SG&A costs for the second quarter 2018 are approximately \$1.8 million in non-cash stock compensation and

accrued expenses of \$2.5 million related to incentive bonus plans. Depreciation, depletion and amortization was \$11.2 million during the second quarter and amortization of acquired intangibles was \$1.1 million, compared with \$8.9 million and \$14.6 million respectively, in the same period last year, excluding discontinued operations.

- Contura reported net income from continuing operations of \$74.6 million, or \$7.24 per diluted share, for the second quarter 2018. In the second quarter 2017, the company had net income from continuing operations of \$18.4 million or \$1.69 per diluted share.
- Total Adjusted EBITDA was \$86.1 million for the second quarter, compared with \$73.1 million in the prior year quarter, adjusted to remove the impact of discontinued operations.

Liquidity and Capital Resources

Cash provided by operating activities, including discontinued operations, for the second quarter 2018 was \$145.9 million and capital expenditures for the second quarter was \$18.9 million. As expected, working capital provided significant cash in the second quarter, including \$60.0 million from accounts receivable and \$22.2 million from reduced inventories, offset by \$15.6 million used in accounts payable. In the prior year period, the cash provided by operating activities was \$44.0 million and capital expenditures were \$18.6 million. Capital expenditures of \$4.0 million from discontinued operations are excluded from the prior year total.

At the end of June 2018, Contura had \$199.3 million in unrestricted cash. Total long-term debt, including the current portion of long-term debt as of June 30, 2018, was approximately \$367.1 million. At the end of the quarter, the company had total liquidity of \$314.4 million, including cash and cash equivalents of \$199.3 million and \$115.1 million of unused commitments available under the Asset-Based Revolving Credit Facility. As of June 30, 2018, the company had no borrowings and \$9.9 million letters of credit outstanding under the Asset-Based Revolving Credit Facility.

Alpha Merger Update

On April 30, 2018, the company jointly announced a definitive merger agreement with ANR, Inc. and Alpha Natural Resources Holdings, Inc. (together, “Alpha”), which is expected to create the largest metallurgical coal supplier in the U.S. complemented by a cost-competitive thermal coal portfolio.

Since the merger announcement, several key milestones have been achieved. On July 2, 2018, Contura and Alpha received early termination of the applicable waiting period under the Hart-Scott-Rodino Antitrust Improvements Act of 1976 (HSR Act). The company also announced on July 16, 2018 that Contura had filed a confidential registration statement on form S-4 with the U.S. Securities and Exchange Commission (SEC).

The transaction is expected to close prior to year-end 2018, likely in early- to mid-fourth quarter. As previously indicated, the merger is expected to generate synergies in the range of \$30 million to \$50 million annually.

For additional information regarding the transaction, see the presentation titled “Contura + Alpha: Transformative Combination” at www.conturaenergy.com/financials.

Other Business Updates

On July 2, 2018, the company announced an updated 2018 production outlook for the Cumberland mine, its longwall thermal coal mine located in NAPP. Due to unforeseen geologic conditions including reduced coal seam thickness and localized soft clay influences within the coal seam, both production and processing were temporarily slowed. Full coal production resumed August 1, 2018 at the Cumberland mine as the previously announced challenges due to localized geologic conditions are no longer impacting production or processing.

On December 11, 2017, the company announced that its wholly-owned subsidiary, Contura Coal West, LLC, completed a transaction to sell the Eagle Butte and Belle Ayr mines in Wyoming, along with related coal reserves, equipment, infrastructure and other real properties, to Blackjewel L.L.C. The reclamation bonds required to effectuate the permit transfer for those properties have since been submitted to the state of Wyoming by Blackjewel L.L.C. and, along with the permit transfer applications, are under review by the Wyoming Attorney General and the Wyoming Department of Environmental Quality.

2018 Full-Year Guidance

None of the guidance ranges described herein include any potential effects of the transaction with Alpha, which is expected to close prior to year-end 2018.

The company expects total 2018 coal shipments to be in the range of 15.4 million to 16.8 million tons. CAPP metallurgical coal guidance remains at 3.7 million to 4.1 million tons and guidance for the T&L segment is increased to 5.6 million to 6.2 million tons from a range of 5.0 million to 5.6 million tons. As previously announced, NAPP shipments, sold primarily into thermal markets, are now anticipated to be between 6.1 million and 6.5 million tons in 2018.

As of July 31, 2018, 68% of the midpoint of anticipated 2018 CAPP coal shipments were committed and priced at an average expected per-ton realization of \$131.48, with an additional 18% committed and either unpriced or priced based on various indices. Based on the midpoint of guidance, 100% of anticipated 2018 NAPP coal shipments were committed and priced at an average expected per-ton realization of \$43.71.

Contura is maintaining its previously announced guidance for 2018 CAPP cost of coal sales per ton of \$70.00 to \$75.00. As recently updated, NAPP cost estimates are projected to be between \$35.00 to \$38.00 per ton due to unexpected geologic conditions that temporarily impacted both production and processing. Additionally, costs related to the company’s idle operations are expected to be between \$10 million and \$12 million for the full-year 2018.

The margin from Contura's T&L platform is expected to average \$9 to \$15 per ton for the full-year 2018.

As previously announced, Contura's SG&A guidance is estimated at \$32 million to \$36 million, excluding one-time and non-recurring items, annual incentive bonuses and stock compensation. Capital expenditure guidance is increased to a range of \$72 million to \$82 million, due primarily to additional capitalization of development work in NAPP while the longwall was idled and the company's strategic decision to convert a CAPP mine from a third-party contract operation to a company-operated mine. Depreciation, depletion and amortization for 2018 is expected to be between \$40 million and \$50 million. The company expects 2018 cash interest expense to be between \$25 million and \$27 million.

<i>in millions of tons</i>	Low	High
CAPP	3.7	4.1
NAPP	6.1	6.5
Total Production	9.8	10.6
Contura Trading & Logistics	5.6	6.2
Total Shipments	15.4	16.8
<i>Committed/Priced^{1,2,3}</i>	Committed	Average Price
CAPP ⁴	68%	\$131.48
NAPP	100%	\$43.71
<i>Committed/Unpriced^{1,3}</i>	Committed	
CAPP ⁴	18%	
<i>Costs per ton</i>	Low	High
CAPP	\$70.00	\$75.00
NAPP	\$35.00	\$38.00
<i>Margin per ton</i>	Low	High
Contura Trading & Logistics	\$9	\$15
<i>In millions (except taxes)</i>	Low	High
SG&A ⁵	\$32	\$36
Idle Operations Expense	\$10	\$12
Cash Interest Expense	\$25	\$27
DD&A	\$40	\$50
Capital Expenditures	\$72	\$82
Tax Rate	0%	5%

Notes:

1. Based on committed and priced coal shipments as of July 31, 2018. Committed percentage based on the midpoint of shipment guidance range.

2. Actual average per-ton realizations on committed and priced tons recognized in future periods may vary based on actual freight expense in future periods relative to assumed freight expense embedded in projected average per-ton realizations.
3. Includes estimates of future coal shipments based upon contract terms and anticipated delivery schedules. Actual coal shipments may vary from these estimates.
4. CAPP committed tons and price information represent captive Contura production and does not include Trading and Logistics.
5. Excludes expenses related to non-cash stock compensation, accrual of incentive bonus and non-recurring business development expenses.

ABOUT CONTURA ENERGY

Contura Energy is a private, Tennessee-based coal supplier with affiliate mining operations across major coal basins in Pennsylvania, Virginia and West Virginia. With customers across the globe, high-quality reserves and significant port capacity, Contura Energy reliably supplies both metallurgical coal to produce steel and thermal coal to generate power. For more information, visit www.conturaenergy.com.

ADDITIONAL INFORMATION FOR INVESTORS

This communication does not constitute an offer to sell or the solicitation of an offer to buy any securities or a solicitation of any vote or approval, nor shall there be any sale of securities in any jurisdiction in which such offer, solicitation or sale would be unlawful prior to registration or qualification under the securities laws of such jurisdiction. BEFORE MAKING ANY VOTING OR INVESTMENT DECISION, INVESTORS ARE URGED TO READ THE FORM S-4 AND THE JOINT PROXY STATEMENT AND PROSPECTUS REGARDING THE PROPOSED TRANSACTION AND ANY OTHER RELEVANT DOCUMENTS CAREFULLY IN THEIR ENTIRETY WHEN THEY BECOME AVAILABLE BECAUSE THEY WILL CONTAIN IMPORTANT INFORMATION ABOUT THE PROPOSED TRANSACTION. The joint proxy statement and prospectus, as well as other filings containing information about Contura and Alpha will be available without charge at the SEC's Internet site (www.sec.gov). Copies of the joint proxy statement and prospectus can also be obtained, when available, without charge, from Contura's website at www.conturaenergy.com. Copies of the joint proxy statement can be obtained, when available, without charge, from Alpha's website at www.alphanr.com.

For additional financial information about Contura, please visit www.conturaenergy.com/financials.

FORWARD-LOOKING STATEMENTS

This news release includes forward-looking statements. These forward-looking statements are based on Contura's expectations and beliefs concerning future events and involve risks and uncertainties that may cause actual results to differ materially from current expectations. These factors are difficult to predict accurately and may be beyond Contura's control. Forward-looking statements in this news release or elsewhere speak only as of the date made. New uncertainties and risks arise from time to time, and it is impossible for Contura to predict these events or how they may affect Contura. Except as required by law, Contura has no duty to, and does not intend to, update or revise the forward-

looking statements in this news release or elsewhere after the date this release is issued. In light of these risks and uncertainties, investors should keep in mind that results, events or developments discussed in any forward-looking statement made in this news release may not occur.

INVESTOR CONTACT

investorrelations@conturaenergy.com

Alex Rotonen, CFA
423.573.0396

MEDIA CONTACTS

corporatecommunications@conturaenergy.com

Rick Axthelm
423.573.0304

Emily O'Quinn
423.573.0369

FINANCIAL TABLES FOLLOW

Use of Non-GAAP Measures

In addition to the results prepared in accordance with generally accepted accounting principles in the United States (GAAP) provided throughout this press release, Contura has presented the following non-GAAP financial measure: Adjusted EBITDA. The company uses Adjusted EBITDA to measure the operating performance of its segments and allocate resources to the segments. This non-GAAP financial measure excludes various items detailed in the attached reconciliation tables.

The definition of this non-GAAP measure may be changed periodically by management to adjust for significant items important to an understanding of operating trends. This measure is not intended to replace financial performance measures determined in accordance with GAAP. Rather, it is presented as a supplemental measure of the company's performance that management finds useful in assessing the company's financial performance and believes is useful to securities analysts, investors and others in assessing the company's performance over time. Moreover, this measure is not calculated identically by all companies and therefore may not be comparable to similarly titled measures used by other companies.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS (Unaudited)
(Amounts in thousands, except share and per share data)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2018	2017	2018	2017
Revenues:				
Coal revenues	\$ 525,168	\$ 367,862	\$ 1,003,533	\$ 780,900
Freight and handling revenues	—	69,696	—	129,919
Other revenues	3,750	2,110	7,717	3,968
Total revenues	528,918	439,668	1,011,250	914,787
Costs and expenses:				
Cost of coal sales (exclusive of items shown separately below)	331,590	286,915	629,128	571,320
Freight and handling costs	101,310	69,696	176,976	129,919
Depreciation, depletion and amortization	11,222	8,939	22,810	17,788
Amortization of acquired intangibles, net	1,104	14,585	11,310	34,243
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	11,951	26,319	31,108	40,148
Merger related costs	3,423	—	3,883	—
Secondary offering costs	—	2,496	—	3,438
Total other operating (income) loss:				
Gain on disposal of assets	(16,502)	—	(16,502)	—
Mark-to-market adjustment for acquisition-related obligations	—	6,739	—	2,382
Gain on settlement of acquisition-related obligations	—	(9,200)	(292)	(9,200)
Other expenses	95	81	288	81
Total costs and expenses	444,193	406,570	858,709	790,119
Income from operations	84,725	33,098	152,541	124,668
Other income (expense):				
Interest expense	(8,779)	(8,338)	(17,984)	(19,614)
Interest income	191	42	322	73
Loss on early extinguishment of debt	—	—	—	(38,701)
Equity loss in affiliates	(1,170)	(496)	(1,233)	(1,709)
Bargain purchase gain	—	642	—	642
Miscellaneous income, net	(270)	(219)	(583)	(192)
Total other expense, net	(10,028)	(8,369)	(19,478)	(59,501)
Income from continuing operations before income taxes	74,697	24,729	133,063	65,167
Income tax expense	(55)	(6,329)	(121)	(15,811)
Net income from continuing operations	74,642	18,400	132,942	49,356
Discontinued operations:				
Loss from discontinued operations before income taxes	(854)	(9,019)	(2,213)	(4,000)
Income tax benefit from discontinued operations	—	3,231	—	2,366
Loss from discontinued operations	(854)	(5,788)	(2,213)	(1,634)

Net income	\$	73,788	\$	12,612	\$	130,729	\$	47,722
Basic income (loss) per common share:								
Income from continuing operations	\$	7.75	\$	1.78	\$	13.87	\$	4.79
Loss from discontinued operations		(0.08)		(0.56)		(0.23)		(0.16)
Net income	\$	7.67	\$	1.22	\$	13.64	\$	4.63
Diluted income (loss) per common share								
Income from continuing operations	\$	7.24	\$	1.69	\$	12.91	\$	4.57
Loss from discontinued operations		(0.08)		(0.53)		(0.22)		(0.15)
Net income	\$	7.16	\$	1.16	\$	12.69	\$	4.42
Weighted average shares - basic		9,625,874		10,309,612		9,587,457		10,309,520
Weighted average shares - diluted		10,306,043		10,874,175		10,299,539		10,801,228

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED BALANCE SHEETS (Unaudited)
(Amounts in thousands, except share and per share data)

	June 30, 2018	December 31, 2017
Assets		
Current assets:		
Cash and cash equivalents	\$ 199,252	\$ 141,924
Trade accounts receivable, net of allowance for doubtful accounts of \$0 as of June 30, 2018 and December 31, 2017	168,310	127,326
Inventories, net	74,464	69,561
Assets held for sale	—	171
Short-term restricted cash	11,680	11,615
Short-term deposits	6,619	12,366
Prepaid expenses and other current assets	43,054	59,693
Current assets - discontinued operations	26,231	40,498
Total current assets	529,610	463,154
Property, plant, and equipment, net	207,805	196,579
Other acquired intangibles, net of accumulated amortization of \$3,851 and \$28,662 as of June 30, 2018 and December 31, 2017	7,149	18,458
Long-term restricted cash	35,240	40,421
Long-term deposits	9,238	3,607
Deferred income taxes	78,744	78,744
Other non-current assets	34,285	28,005
Non-current assets - discontinued operations	—	7,632
Total assets	\$ 902,071	\$ 836,600
Liabilities and Stockholders' Equity		
Current liabilities:		
Current portion of long-term debt	\$ 5,435	\$ 10,730
Trade accounts payable	74,000	76,319
Acquisition-related obligations - current	13,788	15,080
Liabilities held for sale	1,305	27,161
Accrued expenses and other current liabilities	56,615	58,771
Current liabilities - discontinued operations	26,138	54,114
Total current liabilities	177,281	242,175
Long-term debt	361,649	361,973
Acquisition-related obligations - long-term	20,852	20,332
Asset retirement obligations	55,313	52,434
Other non-current liabilities	61,748	59,276
Non-current liabilities - discontinued operations	82	7,762
Total liabilities	676,925	743,952
Commitments and Contingencies		
Stockholders' Equity		
Preferred stock - par value \$0.01, 2.0 million shares authorized, none issued	—	—

Common stock - par value \$0.01, 20.0 million shares authorized, 10.8 million issued and 9.9 million outstanding at June 30, 2018 and 10.7 million issued and 9.9 million outstanding at December 31, 2017	108	108
Additional paid-in capital	47,273	40,616
Accumulated other comprehensive loss	(1,998)	(1,948)
Treasury stock, at cost: 0.9 million shares at June 30, 2018 and 0.8 million shares at December 31, 2017	(54,930)	(50,092)
Retained earnings	234,693	103,964
Total stockholders' equity	225,146	92,648
Total liabilities and stockholders' equity	\$ 902,071	\$ 836,600

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS (Unaudited)
(Amounts in thousands)

	Six Months Ended June 30,	
	2018	2017
Operating activities:		
Net income	\$ 130,729	\$ 47,722
Adjustments to reconcile net income to net cash (used in) provided by operating activities:		
Depreciation, depletion and amortization	22,810	34,277
Amortization of acquired intangibles, net	11,310	34,243
Accretion of acquisition-related obligations discount	3,020	4,441
Amortization of debt issuance costs and accretion of debt discount	1,499	1,206
Mark-to-market adjustment for acquisition-related obligations	—	2,382
Gain on settlement of acquisition-related obligations	(292)	(9,200)
Gain on disposal of assets	(16,502)	(708)
Bargain purchase gain	—	(642)
Accretion of asset retirement obligations	4,056	11,049
Employee benefit plans, net	5,324	5,539
Loss on early extinguishment of debt	—	38,701
Stock-based compensation	7,125	6,598
Equity in loss of affiliates	1,233	1,701
Changes in operating assets and liabilities	(54,706)	8,905
Net cash provided by operating activities	115,606	186,214
Investing activities:		
Capital expenditures	(38,349)	(35,508)
Payments on disposal of assets	(10,250)	—
Proceeds on disposal of assets	464	2,272
Capital contributions to equity affiliates	(525)	(3,090)
Purchase of additional ownership interest in equity affiliate	—	(13,293)
Other, net	(1,446)	(408)
Net cash used in investing activities	(50,106)	(50,027)
Financing activities:		
Proceeds from borrowings on debt	—	396,000
Principal repayments of debt	(5,323)	(357,500)
Principal repayments of capital lease obligations	(139)	(504)
Debt issuance costs	—	(14,385)
Debt extinguishment costs	—	(25,036)
Debt amendment costs	—	(4,520)
Common stock repurchases and related expenses	(4,838)	—
Principal repayments of notes payable	(2,939)	(726)
Other, net	(49)	11
Net cash used in financing activities	(13,288)	(6,660)
Net increase in cash and cash equivalents and restricted cash	52,212	129,527

Cash and cash equivalents and restricted cash at beginning of period	193,960	171,289
Cash and cash equivalents and restricted cash at end of period	\$ 246,172	\$ 300,816
Supplemental cash flow information:		
Cash paid for interest	13,431	\$ 27,738
Cash paid for taxes	\$ 2	\$ 13,110
Cash received for income tax refunds	\$ 13,457	\$ —
Supplemental disclosure of non-cash investing and financing activities:		
Capital leases and capital financing - equipment	\$ 344	\$ 283
Accrued capital expenditures	\$ 4,289	\$ 13,132
Dividend Declaration	\$ —	\$ 92,786

The following table provides a reconciliation of cash and cash equivalents and restricted cash reported within the Condensed Consolidated Balance Sheets that sum to the total of the same such amounts shown in the Condensed Consolidated Statements of Cash Flows.

	Six Months Ended June 30,	
	2018	2017
Cash and cash equivalents	\$ 199,252	\$ 244,019
Short-term restricted cash	11,680	—
Long-term restricted cash	35,240	56,797
Total cash and cash equivalents and restricted cash shown in the Condensed Consolidated Statements of Cash Flows	\$ 246,172	\$ 300,816

CONTURA ENERGY, INC. AND SUBSIDIARIES
ADJUSTED EBITDA RECONCILIATION
(Amounts in thousands)

Reconciliation of Non-GAAP measures:

	Three Months Ended June 30, 2018				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Net income (loss) from continuing operations	\$ 73,140	\$ 3,090	\$ 22,342	\$ (23,930)	\$ 74,642
Interest expense	3	(417)	—	9,193	8,779
Interest income	(6)	(10)	(18)	(157)	(191)
Income tax expense	—	—	—	55	55
Depreciation, depletion and amortization	5,742	5,295	—	185	11,222
Merger related costs	—	—	—	3,423	3,423
Non-cash stock compensation expense	—	—	—	1,876	1,876
Gain on sale of disposal group ⁽¹⁾	(16,386)	—	—	—	(16,386)
Accretion expense	655	941	—	—	1,596
Amortization of acquired intangibles, net	—	—	1,104	—	1,104
Adjusted EBITDA ⁽²⁾	<u>\$ 63,148</u>	<u>\$ 8,899</u>	<u>\$ 23,428</u>	<u>\$ (9,355)</u>	<u>\$ 86,120</u>

⁽¹⁾ During the fourth quarter of 2017, the Company entered into an asset purchase agreement to sell a disposal group (comprised of property, plant and equipment and associated asset retirement obligations) within our CAPP segment. From the date the Company entered into the asset purchase agreement through the transaction close date, the property, plant and equipment and associated asset retirement obligations were classified as held for sale in amounts representing the fair value of the disposal group. Upon permit transfer, the transaction closed on April 2, 2018. The Company paid \$10,000 in connection with the transaction, which was paid into escrow on March 27, 2018 and transferred to the buyer at the transaction close date, and expects to pay a series of additional cash payments in the aggregate amount of \$1,500, per the terms stated in the agreement, and recorded a gain on sale of \$16,386 within gain on disposal of assets within the Condensed Consolidated Statements of Operations.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB reporting segment. The former PRB reporting segment had Adjusted EBITDA of \$(1,102) for the three months ended June 30, 2018.

Segment Information:

	Three Months Ended June 30, 2018				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Total revenues	\$ 152,707	\$ 72,092	\$ 303,226	\$ 893	\$ 528,918
Depreciation, depletion, and amortization	\$ 5,742	\$ 5,295	\$ —	\$ 185	\$ 11,222
Amortization of acquired intangibles, net	\$ —	\$ —	\$ 1,104	\$ —	\$ 1,104
Adjusted EBITDA	\$ 63,148	\$ 8,899	\$ 23,428	\$ (9,355)	\$ 86,120
Capital expenditures	\$ 8,173	\$ 10,572	\$ —	\$ 163	\$ 18,908

Reconciliation of Non-GAAP measures:

	Six Months Ended June 30, 2018				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Net income (loss) from continuing operations	\$ 123,000	\$ 6,205	\$ 54,894	\$ (51,157)	\$ 132,942
Interest expense	312	(349)	—	18,021	17,984
Interest income	(10)	(12)	(18)	(282)	(322)
Income tax expense	—	—	—	121	121
Depreciation, depletion and amortization	11,978	10,463	—	369	22,810
Merger related costs	—	—	—	3,883	3,883
Management restructuring costs ⁽¹⁾	—	—	—	2,659	2,659
Non-cash stock compensation expense	—	—	—	6,355	6,355
Gain on settlement of acquisition-related obligations	—	—	—	(292)	(292)
Gain on sale of disposal group ⁽²⁾	(16,386)	—	—	—	(16,386)
Accretion expense	2,174	1,882	—	—	4,056
Amortization of acquired intangibles, net	—	—	11,310	—	11,310
Adjusted EBITDA ⁽³⁾	\$ 121,068	\$ 18,189	\$ 66,186	\$ (20,323)	\$ 185,120

⁽¹⁾ Management restructuring costs are related to severance expense associated with senior management changes in the six months ended June 30, 2018.

⁽²⁾ During the fourth quarter of 2017, the Company entered into an asset purchase agreement to sell a disposal group (comprised of property, plant and equipment and associated asset retirement obligations) within our CAPP segment. From the date the Company entered into the asset purchase agreement through the transaction close date, the property, plant and equipment and associated asset retirement obligations were classified as held for sale in amounts representing the fair value of the disposal group. Upon permit transfer, the transaction closed on April 2, 2018. The Company paid \$10,000 in connection with the transaction, which was paid into escrow on March 27, 2018 and transferred to the buyer at the transaction close date, and expects to pay a series of additional cash payments in the aggregate amount of \$1,500, per the terms stated in the agreement, and recorded a gain on sale of \$16,386 within gain on disposal of assets within the Condensed Consolidated Statements of Operations.

⁽³⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB reporting segment. The former PRB reporting segment had Adjusted EBITDA of (\$2,368) for the six months ended June 30, 2018.

Segment Information:

	Six Months Ended June 30, 2018				
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Total revenues	\$ 287,543	\$ 135,229	\$ 586,245	\$ 2,233	\$ 1,011,250
Depreciation, depletion, and amortization	\$ 11,978	\$ 10,463	\$ —	\$ 369	\$ 22,810
Amortization of acquired intangibles, net	\$ —	\$ —	\$ 11,310	\$ —	\$ 11,310
Adjusted EBITDA	\$ 121,068	\$ 18,189	\$ 66,186	\$ (20,323)	\$ 185,120
Capital expenditures	\$ 15,845	\$ 22,341	\$ —	\$ 163	\$ 38,349

Reconciliation of Non-GAAP measures:

Three Months Ended June 30, 2017					
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Net income (loss) from continuing operations	\$ 33,979	\$ 14,871	\$ 10,921	\$ (41,371)	\$ 18,400
Interest expense	(153)	(420)	—	8,911	8,338
Interest income	(2)	—	—	(40)	(42)
Income tax expense	—	—	—	6,329	6,329
Depreciation, depletion and amortization	5,206	3,506	—	227	8,939
Non-cash stock compensation expense	—	—	166	5,001	5,167
Mark-to-market adjustment - acquisition-related obligations	—	—	—	6,739	6,739
Gain on settlement of acquisition-related obligations	—	—	—	(9,200)	(9,200)
Secondary offering costs	—	—	—	2,496	2,496
Bargain purchase gain	—	—	—	(642)	(642)
Accretion expense	1,461	1,041	—	—	2,502
Amortization of acquired intangibles, net	—	—	14,585	—	14,585
Expenses related to Special Dividend	377	57	—	9,102	9,536
Adjusted EBITDA ^{(1) (2)}	\$ 40,868	\$ 19,055	\$ 25,672	\$ (12,448)	\$ 73,147

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back non-cash stock compensation expense to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB reporting segment. The former PRB reporting segment had Adjusted EBITDA of \$2,446 for the three months ended June 30, 2017.

Segment Information:

Three Months Ended June 30, 2017					
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Total revenues	\$ 111,525	\$ 78,668	\$ 249,244	\$ 231	\$ 439,668
Depreciation, depletion, and amortization	\$ 5,206	\$ 3,506	\$ —	\$ 227	\$ 8,939
Amortization of acquired intangibles, net	\$ —	\$ —	\$ 14,585	\$ —	\$ 14,585
Adjusted EBITDA	\$ 40,868	\$ 19,055	\$ 25,672	\$ (12,448)	\$ 73,147
Capital expenditures	\$ 5,140	\$ 12,610	\$ —	\$ 858	\$ 18,608

Reconciliation of Non-GAAP measures:

Six Months Ended June 30, 2017					
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Net income (loss) from continuing operations	\$ 98,346	\$ 45,155	\$ 16,590	\$ (110,735)	\$ 49,356
Interest expense	(93)	(369)	—	20,076	19,614
Interest income	(5)	—	—	(68)	(73)
Income tax expense	—	—	—	15,811	15,811
Depreciation, depletion and amortization	10,711	6,662	—	415	17,788
Non-cash stock compensation expense	—	—	209	6,389	6,598
Mark-to-market adjustment - acquisition-related obligations	—	—	—	2,382	2,382
Gain on settlement of acquisition-related obligations	—	—	—	(9,200)	(9,200)
Secondary offering costs	—	—	—	3,438	3,438
Loss on early extinguishment of debt	—	—	—	38,701	38,701
Bargain purchase gain	—	—	—	(642)	(642)
Accretion expense	2,923	2,082	—	—	5,005
Amortization of acquired intangibles, net	—	—	34,243	—	34,243
Expenses related to Special Dividend	377	57	—	9,102	9,536
Adjusted EBITDA ^{(1) (2)}	\$ 112,259	\$ 53,587	\$ 51,042	\$ (24,331)	\$ 192,557

⁽¹⁾ The Company's Adjusted EBITDA calculation has been modified to add back non-cash stock compensation expense to align with industry peer group methodology.

⁽²⁾ Pursuant to the PRB divestiture and classification as a discontinued operation, the Company is no longer presenting a PRB reporting segment. The former PRB reporting segment had Adjusted EBITDA of \$18,761 for the six months ended June 30, 2017.

Segment Information:

Six Months Ended June 30, 2017					
	CAPP	NAPP	Trading and Logistics	All Other	Consolidated
Total revenues	\$ 260,604	\$ 176,980	\$ 476,809	\$ 394	\$ 914,787
Depreciation, depletion, and amortization	\$ 10,711	\$ 6,662	\$ —	\$ 415	\$ 17,788
Amortization of acquired intangibles, net	\$ —	\$ —	\$ 34,243	\$ —	\$ 34,243
Adjusted EBITDA	\$ 112,259	\$ 53,587	\$ 51,042	\$ (24,331)	\$ 192,557
Capital expenditures	\$ 7,189	\$ 22,209	\$ —	\$ 1,058	\$ 30,456

CONTURA ENERGY, INC. AND SUBSIDIARIES
RESULTS OF OPERATIONS
(Amounts in thousands, except per ton data)

<i>(In thousands, except for per ton data)</i>	Three Months Ended June 30,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
Revenues:				
Coal revenues:				
Steam	\$ 55,935	\$ 74,459	\$ (18,524)	(24.9)%
Met	367,923	293,403	74,520	25.4 %
Freight and handling fulfillment revenues	101,310	69,696	31,614	45.4 %
Other revenues	3,750	2,110	1,640	77.7 %
Total revenues	\$ 528,918	\$ 439,668	\$ 89,250	20.3 %

Tons sold:				
Steam	1,343	1,802	(459)	(25.5)%
Met	3,042	2,316	726	31.3 %
Total	4,385	4,118	267	6.5 %

Coal sales realization per ton ⁽¹⁾:

Steam	\$ 41.65	\$ 41.32	\$ 0.33	0.8 %
Met	\$ 120.95	\$ 126.69	\$ (5.74)	(4.5)%
Average	\$ 96.66	\$ 89.33	\$ 7.33	8.2 %

<i>(In thousands, except for per ton data)</i>	Three Months Ended June 30,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
Coal revenues ⁽¹⁾:				
CAPP Operations	\$ 152,154	\$ 111,244	\$ 40,910	36.8 %
NAPP Operations	70,708	77,347	(6,639)	(8.6)%
Trading and Logistics Operations	200,996	179,271	21,725	12.1 %
Total coal revenues	\$ 423,858	\$ 367,862	\$ 55,996	15.2 %

Tons sold:				
CAPP Operations	1,184	990	194	19.6 %
NAPP Operations	1,572	1,838	(266)	(14.5)%
Trading and Logistics Operations	1,629	1,290	339	26.3 %

Coal sales realization per ton ⁽¹⁾:

CAPP Operations	\$ 128.51	\$ 112.37	\$ 16.14	14.4 %
NAPP Operations	\$ 44.98	\$ 42.08	\$ 2.90	6.9 %
Trading and Logistics Operations	\$ 123.39	\$ 138.97	\$ (15.58)	(11.2)%
Average	\$ 96.66	\$ 89.33	\$ 7.33	8.2 %

⁽¹⁾ Does not include \$101.3 million of freight and handling fulfillment revenues for the three months ended June 30, 2018.

(In thousands, except for per ton data)	Three Months Ended June 30,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
Cost of coal sales (exclusive of items shown separately below)	\$ 331,590	\$ 286,915	\$ 44,675	15.6 %
Freight and handling costs	101,310	69,696	31,614	45.4 %
Depreciation, depletion and amortization	11,222	8,939	2,283	25.5 %
Amortization of acquired intangibles, net	1,104	14,585	(13,481)	(92.4)%
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	11,951	26,319	(14,368)	(54.6)%
Merger related costs	3,423	—	3,423	100.0 %
Secondary offering costs	—	2,496	(2,496)	(100.0)%
Total other operating (income) loss:				
Gain on disposal of assets	(16,502)	—	(16,502)	(100.0)%
Mark-to-market adjustment for acquisition-related obligations	—	6,739	(6,739)	(100.0)%
Gain on settlement of acquisition-related obligations	—	(9,200)	9,200	100.0 %
Other expenses	95	81	14	17.3 %
Total costs and expenses	444,193	406,570	37,623	9.3 %
Other (expense) income:				
Interest expense	(8,779)	(8,338)	(441)	(5.3)%
Interest income	191	42	149	354.8 %
Equity loss in affiliates	(1,170)	(496)	(674)	(135.9)%
Bargain purchase gain	—	642	(642)	(100.0)%
Miscellaneous income, net	(270)	(219)	(51)	(23.3)%
Total other expense, net	(10,028)	(8,369)	(1,659)	(19.8)%
Income tax expense	(55)	(6,329)	6,274	99.1 %
Net income from continuing operations	\$ 74,642	\$ 18,400	\$ 56,242	305.7 %
Cost of coal sales:				
CAPP Operations	\$ 89,903	\$ 72,397	\$ 17,506	24.2 %
NAPP Operations	\$ 64,369	\$ 60,668	\$ 3,701	6.1 %
Trading and Logistics Operations	\$ 177,318	\$ 153,554	\$ 23,764	15.5 %
Tons sold:				
CAPP Operations	1,184	990	194	19.6 %
NAPP Operations	1,572	1,838	(266)	(14.5)%
Trading and Logistics Operations	1,629	1,290	339	26.3 %
Cost of coal sales per ton:				
CAPP Operations	\$ 75.93	\$ 73.13	\$ 2.80	3.8 %
NAPP Operations	\$ 40.95	\$ 33.01	\$ 7.94	24.1 %
Trading and Logistics Operations	\$ 108.85	\$ 119.03	\$ (10.18)	(8.6)%
Coal margin per ton ⁽¹⁾ :				
CAPP Operations	\$ 52.58	\$ 39.24	\$ 13.34	34.0 %
NAPP Operations	\$ 4.03	\$ 9.07	\$ (5.04)	(55.6)%
Trading and Logistics Operations	\$ 14.54	\$ 19.94	\$ (5.40)	(27.1)%

⁽¹⁾ Coal margin per ton for our reportable segments is calculated as coal sales realization per ton for our reportable segments less cost of coal sales per ton for our reportable segments. Coal margin per ton is not shown for our All Other category since it has no coal sales or coal production related to our continuing operations.

(In thousands, except for per ton data)	Six Months Ended June 30,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
Revenues:				
Coal revenues:				
Steam	\$ 111,984	\$ 166,255	\$ (54,271)	(32.6)%
Met	714,573	614,645	99,928	16.3 %
Freight and handling fulfillment revenues	176,976	129,919	47,057	36.2 %
Other revenues	7,717	3,968	3,749	94.5 %
Total revenues	\$ 1,011,250	\$ 914,787	\$ 96,463	10.5 %
Tons sold:				
Steam	2,679	3,961	(1,282)	(32.4)%
Met	5,523	4,466	1,057	23.7 %
Total	8,202	8,427	(225)	(2.7)%
Coal sales realization per ton ⁽¹⁾:				
Steam	\$ 41.80	\$ 41.97	\$ (0.17)	(0.4)%
Met	\$ 129.38	\$ 137.63	\$ (8.25)	(6.0)%
Average	\$ 100.78	\$ 92.67	\$ 8.11	8.8 %

(In thousands, except for per ton data)	Six Months Ended June 30,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
Coal revenues ⁽¹⁾:				
CAPP Operations	\$ 286,723	\$ 259,975	\$ 26,748	10.3 %
NAPP Operations	132,166	175,001	(42,835)	(24.5)%
Trading and Logistics Operations	407,668	345,924	61,744	17.8 %
Total coal revenues	\$ 826,557	\$ 780,900	\$ 45,657	5.8 %
Tons sold:				
CAPP Operations	2,138	2,048	90	4.4 %
NAPP Operations	2,986	4,038	(1,052)	(26.1)%
Trading and Logistics Operations	3,078	2,341	737	31.5 %
Coal sales realization per ton ⁽¹⁾:				
CAPP Operations	\$ 134.11	\$ 126.94	\$ 7.17	5.6 %
NAPP Operations	\$ 44.26	\$ 43.34	\$ 0.92	2.1 %
Trading and Logistics Operations	\$ 132.45	\$ 147.77	\$ (15.32)	(10.4)%
Average	\$ 100.78	\$ 92.67	\$ 8.11	8.8 %

⁽¹⁾ Does not include \$177.0 million of freight and handling fulfillment revenues for the six months ended June 30, 2018.

	Six Months Ended June 30,		Increase (Decrease)	
	2018	2017	\$ or Tons	%
<i>(In thousands, except for per ton data)</i>				
Cost of coal sales (exclusive of items shown separately below)	\$ 629,128	\$ 571,320	\$ 57,808	10.1 %
Freight and handling costs	176,976	129,919	47,057	36.2 %
Depreciation, depletion and amortization	22,810	17,788	5,022	28.2 %
Amortization of acquired intangibles, net	11,310	34,243	(22,933)	(67.0)%
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	31,108	40,148	(9,040)	(22.5)%
Merger related costs	3,883	—	3,883	100.0 %
Secondary offering costs	—	3,438	(3,438)	(100.0)%
Total other operating (income) loss:				
Gain on disposal of assets	(16,502)	—	(16,502)	(100.0)%
Mark-to-market adjustment for acquisition-related obligations	—	2,382	(2,382)	(100.0)%
Gain on settlement of acquisition-related obligations	(292)	(9,200)	8,908	96.8 %
Other expenses	288	81	207	255.6 %
Total costs and expenses	858,709	790,119	\$ 68,590	8.7 %
Other income (expense):				
Interest expense	(17,984)	(19,614)	1,630	8.3 %
Interest income	322	73	249	341.1 %
Loss on early extinguishment of debt	—	(38,701)	38,701	100.0 %
Equity loss in affiliates	(1,233)	(1,709)	476	27.9 %
Bargain purchase gain	—	642	(642)	(100.0)%
Miscellaneous income, net	(583)	(192)	(391)	(203.6)%
Total other expense, net	(19,478)	(59,501)	40,023	67.3 %
Income tax expense	(121)	(15,811)	15,690	99.2 %
Net income from continuing operations	\$ 132,942	\$ 49,356	\$ 83,586	169.4 %
Cost of coal sales:				
CAPP Operations	\$ 168,170	\$ 151,484	\$ 16,686	11.0 %
NAPP Operations	\$ 119,116	\$ 125,647	\$ (6,531)	(5.2)%
Trading and Logistics Operations	\$ 341,842	\$ 294,381	\$ 47,461	16.1 %
Tons sold:				
CAPP Operations	2,138	2,048	\$ 90	4.4 %
NAPP Operations	2,986	4,038	\$ (1,052)	(26.1)%
Trading and Logistics Operations	3,078	2,341	\$ 737	31.5 %
Cost of coal sales per ton:				
CAPP Operations	\$ 78.66	\$ 73.97	\$ 4.69	6.3 %
NAPP Operations	\$ 39.89	\$ 31.12	\$ 8.77	28.2 %
Trading and Logistics Operations	\$ 111.06	\$ 125.75	\$ (14.69)	(11.7)%
Coal margin per ton ⁽¹⁾ :				
CAPP Operations	\$ 55.45	\$ 52.97	\$ 2.48	4.7 %
NAPP Operations	\$ 4.37	\$ 12.22	\$ (7.85)	(64.2)%
Trading and Logistics Operations	\$ 21.39	\$ 22.02	\$ (0.63)	(2.9)%

⁽¹⁾ Coal margin per ton for our reportable segments is calculated as coal sales realization per ton for our reportable segments less cost of coal sales per ton for our reportable segments. Coal margin per ton is not shown for our All Other category since it has no coal sales or coal production related to our continuing operations.

- ### -